Practice workbook · Provision for depreciation account

Writing up accumulated depreciation for a class of assets over a year, including removing the amount on an asset sold.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-05

1. Question 18 · part c · 4 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

18 On 1 May 2023 Alex owed wages of $1 580, and had paid wages in advance of $920

During the year ended 30 April 2024 Alex paid wages of $87 900

On 30 April 2024 Alex owed wages of $4 230

(a) Prepare the wages account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(5)

Wages Account

Date	Details	$	Date	Details	$

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1. Question 18 · part c · 4 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

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On 1 May 2023 Alex had received rent in advance of $800 from his tenant.

During the year ended 30 April 2024 Alex received rent of $7 800

On 30 April 2024 Alex had received rent in advance of $1 300

(b) Prepare the rent receivable account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Rent Receivable Account

Date	Details	$	Date	Details	$

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1. Question 18 · part c · 4 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

On 1 May 2023 the balance on the motor vehicles cost account was $172 000 and the balance on the motor vehicles provision for depreciation account was $85 000

On 30 September 2023 Alex sold a motor vehicle for $16 000 and received a bank transfer in full settlement.

This motor vehicle had been purchased on 31 March 2022 for $36 000 and had a residual value of $8 000

Alex depreciates motor vehicles at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Prepare the motor vehicles – provision for depreciation account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Motor Vehicles – Provision for Depreciation Account

Date	Details	$	Date	Details	$

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18

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1. Question 18 · part c · 4 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

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(d) Explain, referring to an accounting concept, **one** reason why it is necessary for a business to account for depreciation on its non-current assets.

(2)

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(Total for Question 18 = 15 marks)

1. Question 18 · part c · 4 marks · Working and answer

Working and answer

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2. Question 16 · part d · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

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2. Question 16 · part d · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

On 1 April 2017 Rosa purchased **two** motor vehicles costing $50 000 **each**.

On 1 January 2019 she sold **one** of the motor vehicles for $35 500. The sale proceeds were received by cheque.

Depreciation is charged at 20% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(d) Prepare the provision for depreciation – motor vehicles account for the year ended 31 March 2019. Balance the account on that date and bring the balance down on 1 April 2019.

(4)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(e) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 16 = 15 marks)

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2. Question 16 · part d · 4 marks · Working and answer

Working and answer

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3. Question 18 · part a · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part a only.

18 Nyat provided the following information at 1 January 2019

Account	$
Motor vehicles at cost	48 000
Motor vehicles provision for depreciation	16 000

On 30 September 2019 Nyat sold a motor vehicle for $13 250 and received a cheque in full settlement. This motor vehicle had been purchased on 1 July 2018 for $16 400

Nyat's policy is to depreciate motor vehicles at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

(a) Prepare the provision for depreciation – motor vehicles account for the year ended 31 December 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 January 2020.

(5)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(b) Prepare the disposal account showing the transfer to the income statement.

(5)

Disposal Account

Date	Details	$	Date	Details	$

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3. Question 18 · part a · 5 marks · Working and answer

Working and answer

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4. Question 18 · part b · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

18 At 1 January 2019 the balance on the machinery account was $18 000 and the balance on the provision for depreciation machinery account was $9 000

Machinery is depreciated at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

On 30 June 2019 a machine purchased on 30 September 2017 costing $4 200 was sold for $2 000. The payment was received by cheque.

(a) Calculate the total depreciation charged on the machine that was sold.

(1)

.....

(b) Prepare the provision for depreciation machinery account for the year ended 31 December 2019. Balance the account on 31 December 2019 and bring the balance down on 1 January 2020.

(5)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

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4. Question 18 · part b · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Prepare the asset disposal account.

(4)

Asset Disposal Account

Date	Details	$	Date	Details	$

(d) Evaluate the effect on the business's financial statements of a change in the depreciation method for machinery to reducing balance.

(5)

(Total for Question 18 = 15 marks)

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4. Question 18 · part b · 5 marks · Working and answer

Working and answer

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5. Question 18 · part e · 4 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

18 (a) Identify, indicating with a tick (✓), how **each** would be classified.

(3)

	Revenue expenditure	Capital expenditure
Machine delivery		
Machine installation		
Machine operatives' wages		

(b) Explain what distinguishes revenue expenditure from capital expenditure.

(5)

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5. Question 18 · part e · 4 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

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Hunter started in business on 1 April 2018. On that date he purchased Machine A for $26 000 and on 1 December 2018 he purchased Machine B for $16 000.

Depreciation is charged at 10% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) Calculate the balance on the machinery – provision for depreciation account at 31 March 2019.

(1)

On 1 January 2020 Hunter sold Machine A for $18 000

(d) Calculate the profit or loss on the disposal of Machine A.

(2)

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(e) Prepare the machinery – provision for depreciation account for the year ended 31 March 2020. Balance the account on this date and bring the balance down on 1 April 2020.

(4)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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5. Question 18 · part e · 4 marks · Working and answer

Working and answer

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6. Question 17 · part e · 4 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	**Revenue expenditure**
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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6. Question 17 · part e · 4 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

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(d) Calculate the carrying value at 30 June 2021 of the motor vehicle that was sold.

(1)

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.....

(e) Prepare the provision for depreciation motor vehicles account for the year ended 31 March 2022. Balance the account on that date and bring the balance down on 1 April 2022.

(4)

Provision for Depreciation - Motor Vehicles Account

Date	Details	$	Date	Details	$

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(f) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17= 15 marks)

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6. Question 17 · part e · 4 marks · Working and answer

Working and answer

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7. Question 18 · part e · 4 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

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7. Question 18 · part e · 4 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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On 1 March 2023 Xavier sold Machine A for $17 500

(d) Calculate the profit or loss on the disposal of Machine A.

(1)

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.....

(e) Prepare the provision for depreciation – machinery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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7. Question 18 · part e · 4 marks · Working and answer

Working and answer

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8. Question 18 · part d · 5 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

18 (a) State **two** factors that cause the value of non-current assets to depreciate.

(2)

1 .....

2 .....

(b) Define **each** of the following terms.

(4)

Capital expenditure

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Revenue expenditure

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.....

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On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

(1)

.....

(ii) reducing balance method of depreciation at 20% per annum.

(1)

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8. Question 18 · part d · 5 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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On 1 January 2022 Wang purchased machinery at a cost of $60 000. He intended to use the machinery for five years and estimated that the machinery would have a scrap value of $10 000

(d) Prepare the machinery – provision for depreciation account for the years ended 31 December 2022 and 31 December 2023 using the **reducing balance** method of depreciation at a rate of 20% per annum.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

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(e) Explain **one** reason why the accruals concept applies when depreciating non-current assets.

(2)

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(Total for Question 18 = 15 marks)

8. Question 18 · part d · 5 marks · Working and answer

Working and answer

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